Saving for a First Home Now Takes Twice as Long

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Buying a first home has become much harder for many American families, a new report says.

The Center for Responsible Lending, a research **nonprofit**, studied how long it takes renters to save money for a **down payment** and **closing costs**. A **down payment** is the first chunk of money a buyer pays toward a house. **Closing costs** are fees paid when the home loan is finalized.

The center found that a renter household with a middle, or **median**, income would now need about 16 years to save enough for a starter home. That is twice as long as in 2019, the last time the center did this calculation. For middle-income households earning roughly $50,000 to $120,000 a year, the wait has doubled to 12 years. For workers such as teachers, nurses, firefighters and police officers, it now ranges from 10 to 13 years.

Why the big change? Since 2019, home prices have jumped, and everyday costs like food, gas and health care have risen. Rents have climbed too, while renters' incomes have not kept up. **Mortgage rates** are also above 7%.

The report says the wait is so long that young children could grow up and leave home before their family saves enough. The time also differs by city, from 11 years in Houston to 24 years in Los Angeles.

The center wants more help for first-time buyers and more small, cheaper homes, such as townhomes. Even so, a survey by the center found that young adults still hope to own homes as much as earlier generations did.

Word Treasure

down payment -- A down payment is the first part of a home's price that a buyer pays up front.

closing costs -- Closing costs are fees a buyer pays when a home loan is finalized.

median -- The median is the middle value in a list of numbers arranged from smallest to largest.

Mortgage rates -- Mortgage rates are the interest charged on loans people take out to buy homes.

nonprofit -- A nonprofit is an organization that works for a cause instead of to make money for owners.

Background you need

Most people who buy a home borrow much of the money through a loan called a mortgage, which they repay over many years.

Lenders usually require buyers to pay part of the price up front as a down payment, plus fees called closing costs.

When home prices, rents and everyday costs rise faster than people's pay, it becomes harder for renters to save that money.

A starter home is a smaller, less expensive home that people often buy as their first.

Break it down

LEAD: Buying a first home has become much harder for many American families

KEY FINDING: A median-income renter household needs about 16 years to save, twice as long as in 2019

+- WHO: Center for Responsible Lending, a research nonprofit

+- GROUPS: middle-income households 12 years; teachers, nurses, firefighters and police 10 to 13 years

CAUSES: Rising home prices, everyday costs and rents; incomes not keeping up; mortgage rates above 7%

EVIDENCE: Wait ranges from 11 years in Houston to 24 years in Los Angeles

SOLUTIONS: More help for first-time buyers and more small, cheaper homes

HOPE: Young adults still want to own homes as much as earlier generations

Why it matters

Owning a home is one of the main ways families build security, so a longer wait affects where families live and whether children grow up in a home their family owns.

Test what you remember

1. How many years does a median-income renter household now need to save for a starter home?

(A) 8
(B) 24
(C) 12
(D) 16

2. Compared with 2019, how long does saving take now?

(A) Half as long
(B) About the same
(C) Three times as long
(D) Twice as long

3. Which organization did the study?

(A) The Federal Reserve
(B) Harvard University
(C) The Center for Responsible Lending
(D) The U.S. Census Bureau

4. Which city has the longest wait mentioned in the article?

(A) Chicago
(B) Houston
(C) New York
(D) Los Angeles

5. How long does it take workers such as teachers and nurses to save?

(A) 2 to 4 years
(B) 10 to 13 years
(C) 5 to 7 years
(D) 20 to 25 years

6. What does the center want more of?

(A) Help for first-time buyers and smaller, cheaper homes
(B) Higher mortgage rates
(C) Bigger houses
(D) Fewer townhomes

Answer key (try the quiz first!): 1: D 2: D 3: C 4: D 5: B 6: A

Questions to think about

1. Center for Responsible Lending: Says the time to save has doubled and calls for more help for first-time buyers and more small, cheaper homes.

2. Young adults surveyed: Still hope to own homes as much as earlier generations did.

MY THOUGHTS (at least 20 words):